

Formación

Invirtiendo en tu futuro

Logical Structuring

Determining the objective, structuring the work, managing the engagement, and communicating the results

Deloitte S.L.

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Objectives

At the end of this course, you should be able to

- Make PowerPoint presentations and reports that communicate complex stories in an easy, understandable, way
- Understand the Pyramid Principle in order to
 - structure your presentations and other forms of communication
 - design, plan and control your consulting project
- Apply the Principles of Graphical Excellence to design individual PowerPoint slides
- Select the right chart to fit your message

Agenda

1. Introducing the concept

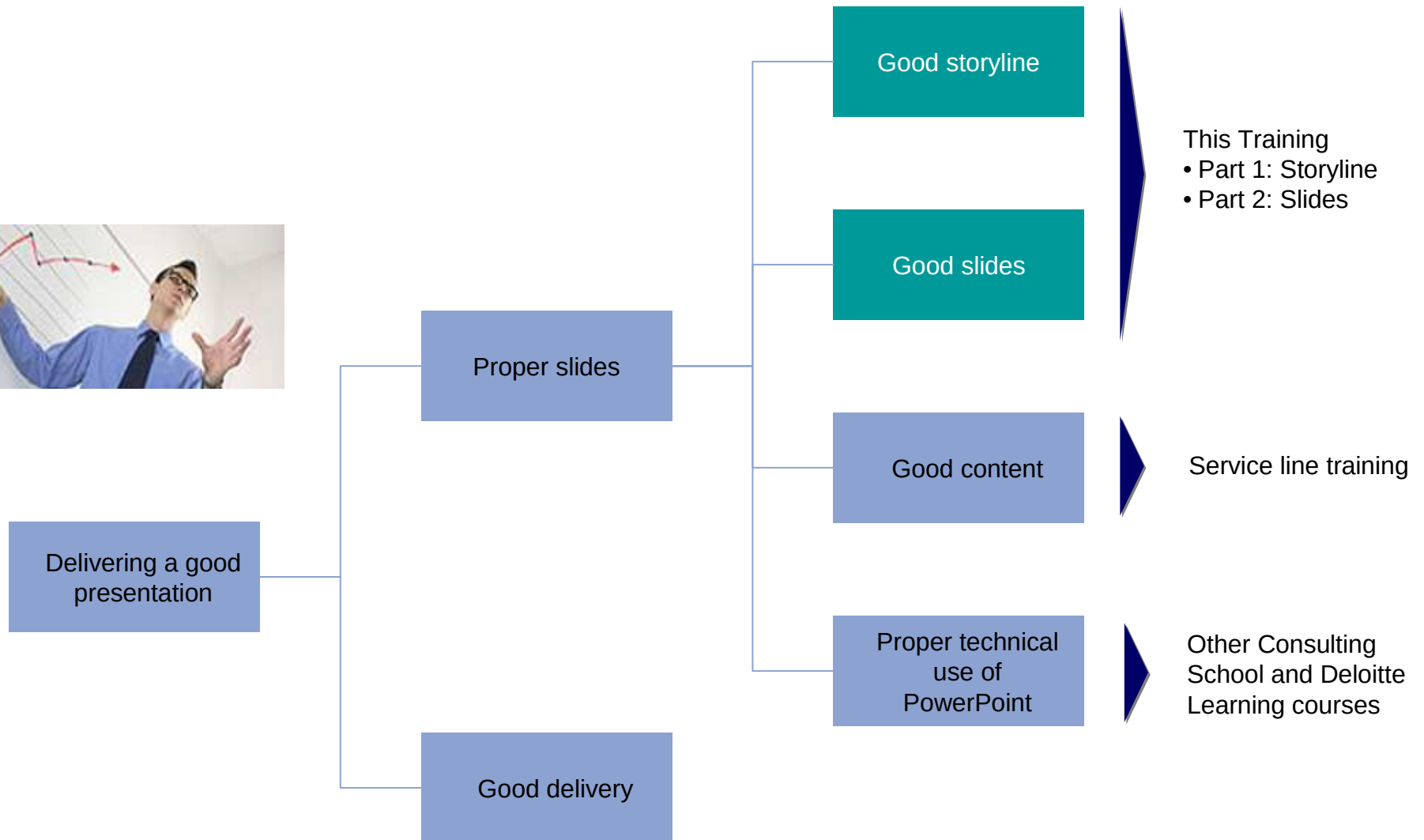
2. Writing the introduction

3. Grouping the slides

4. Building the storyboard

5. Designing and planning projects

Storyboarding is one important element in delivering good presentations to your clients



After all, communicating your findings is about making complex things simpler whilst maintaining intellectual rigour

“I apologise for writing a four page letter.
I did not have the time to write a half page note”

Sir Winston Churchill

“Make it as simple as possible. But not simpler”

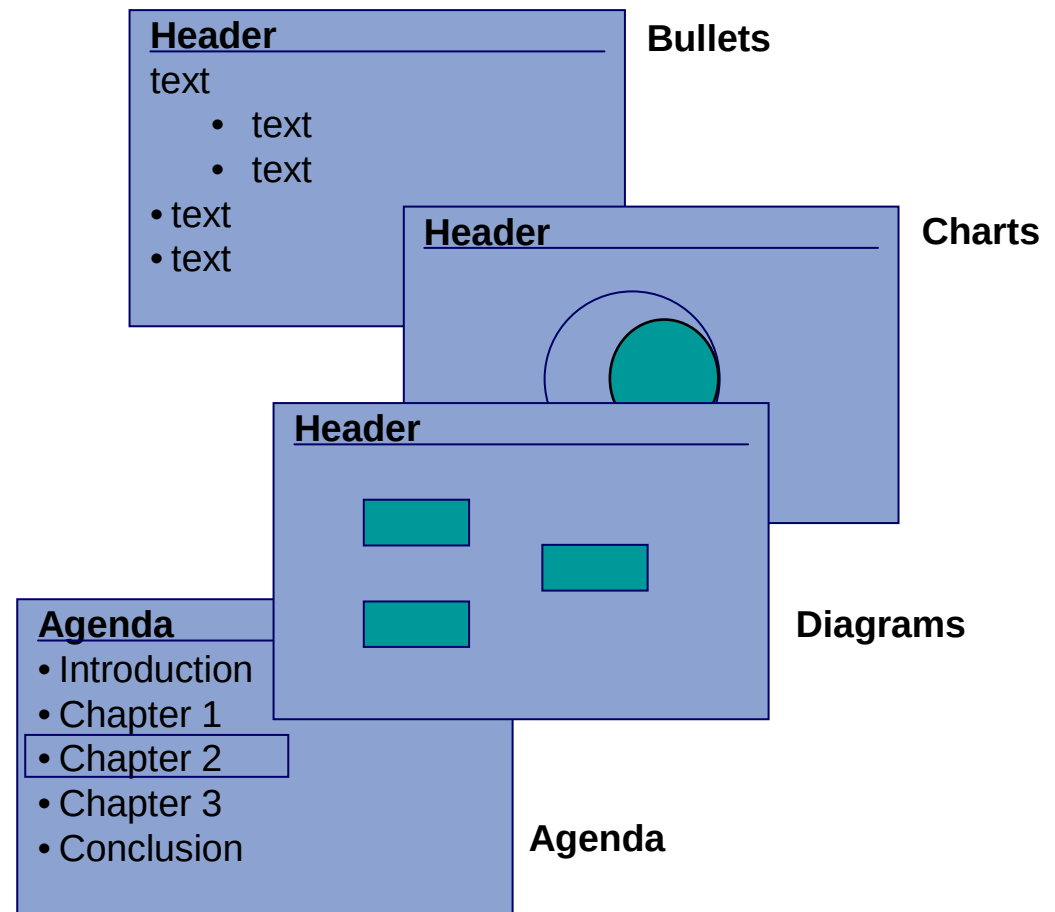
Albert Einstein

Storyboarding is a way of making presentations that double as a report

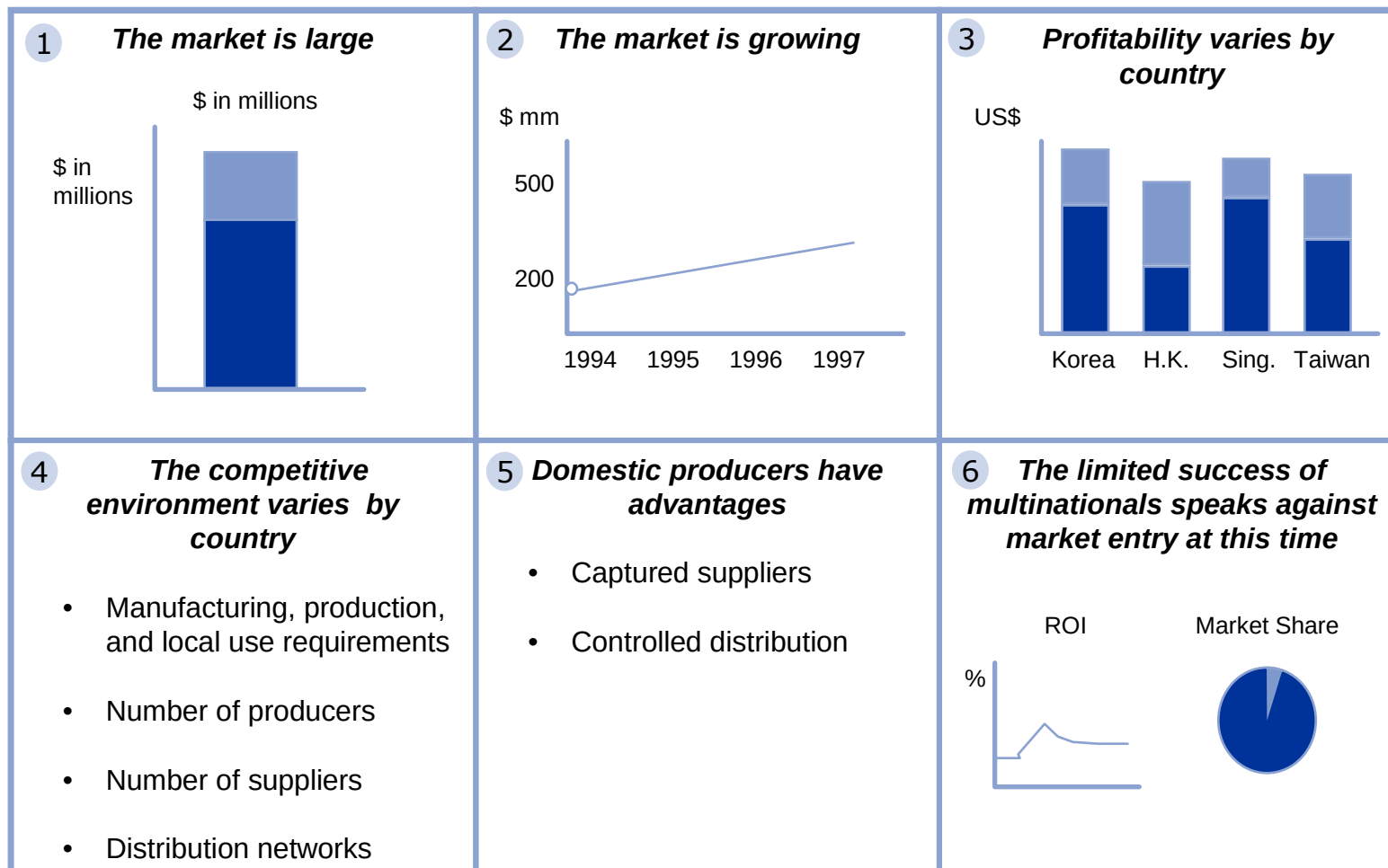
■ Characteristics

- A logical sequence of slides which together serve as a report
- A storyboard has the same structure as a traditional report
 - table of content
 - a logical chain of chapters and paragraphs
 - the same paragraph structure
- A well built storyboard makes a report redundant

Generic Slides



A good presentation consists of a logical succession of slides



The storyboard combines horizontal and vertical logic



Horizontal logic

A storyline linked by a chain of slide headers



Header 1



Header 2



Header 3



Vertical logic

The text, graphs, and charts that support the message in the slide header

The horizontal logic should be unambiguous and simple to understand

- Presentations and reports written by Deloitte generally consist of a large amount of information
 - observations
 - often complex analyses
 - recommendations

- On the other hand our audience is only able to absorb a very limited amount of information at one time
 - not more than seven pieces of information

Try to communicate this shopping list!

- apples
- butter
- carrots
- cauliflower
- cheese
- eggs
- French beans
- grapes
- pears

The list is in alphabetic
order
but can you communicate
it easily?

The list is a lot easier to communicate if you use hierarchical subdivisions to form a 'pyramid' of information

Shopping list pyramid



A good pyramid is always MECE (pronounce Mee-See): all items on each level are Mutually Exclusive and Collectively Exhaustive

The shopping list pyramid is well structured because all categories are

- **Mutually Exclusive**, i.e. all items in each category belong only to that category
- **Collectively Exhaustive**, they comprise all items on the shopping list on page 9



Violation of MECE is the most common cause for client confusion and stupid looking consultants!

Also the number of items of each level of a good pyramid is limited, three is ideal, seven is the absolute maximum

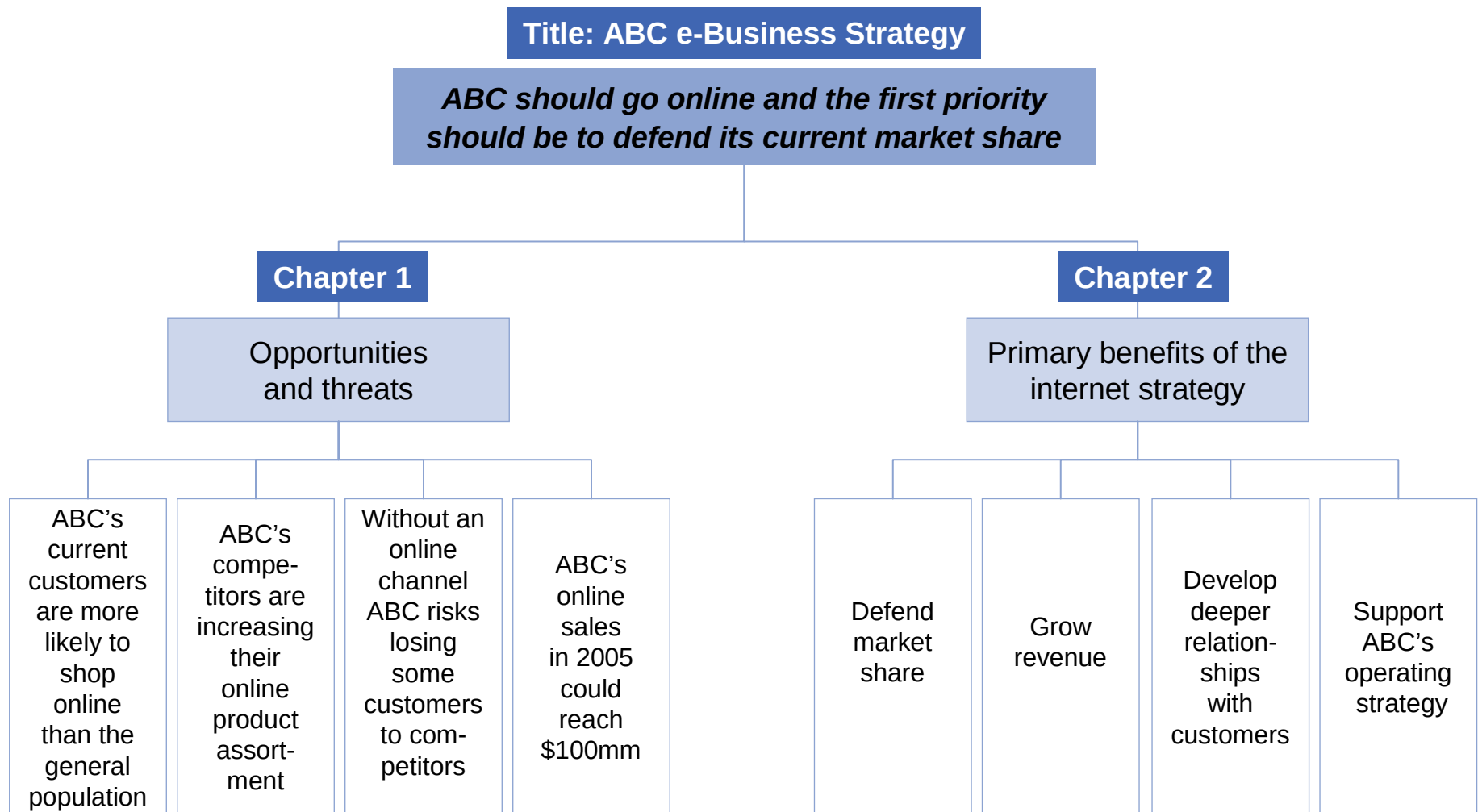
The shopping list pyramid is well structured because

- level one comprises of only three items
- all groups on level two also have only three items

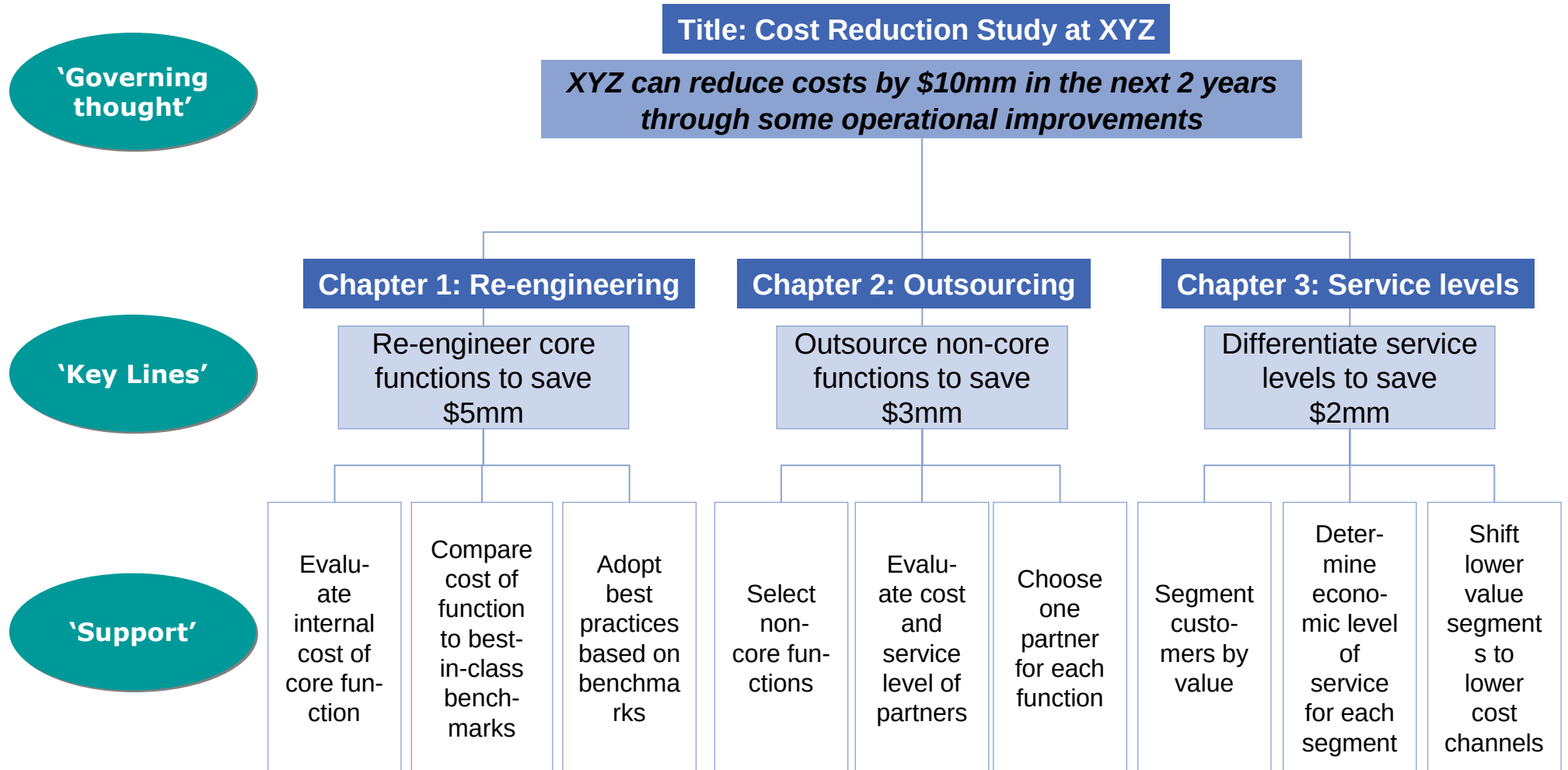


Too many items on a level lead you to the original shopping list that you couldn't communicate in the first place!

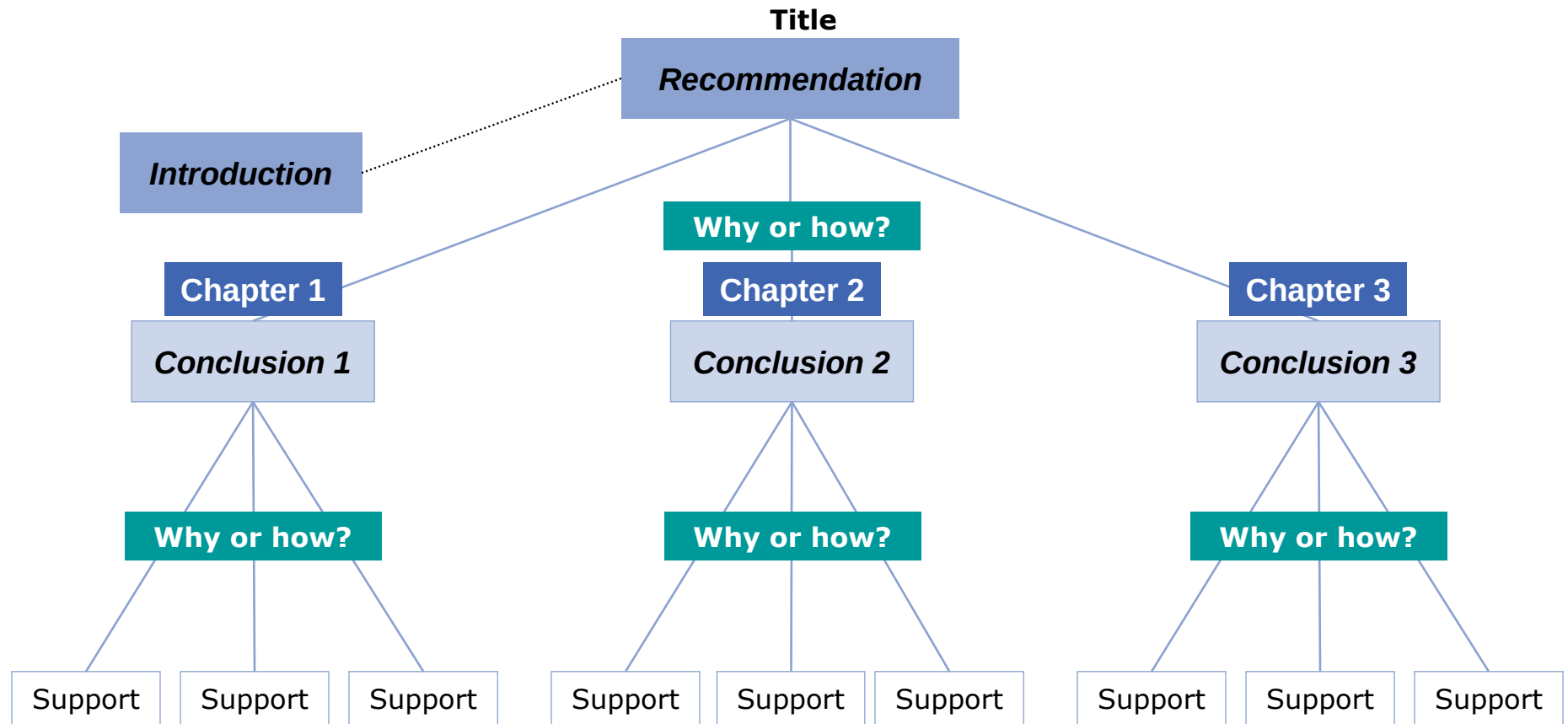
Exercise: Explain what is this consultant trying to say



Exercise: And what about this consultant?



To get your message across, you should therefore structure your story like a pyramid that is MECE and has a limited number of chapters and sections



The pyramid principle can be applied to many forms of communication

■ Written communication

- PowerPoint presentations
- Reports
- Memos
- E-mails

■ Electronic communication

- Web sites
- Software menus

■ Oral communication

- Speeches
- Private conversations
- ‘Elevator Tests’: you meet your client in the elevator and have only the elevator ride to explain her the findings of your study

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Each presentation should start with an introductory slide that results in a Question

- Client has acquired four XYZ manufacturers
- Although these four companies are relatively small, they are very profitable
- Client hopes to expand these XYZ activities by building on this success
- As a first step Client needs to have insight in the European market for XYZ
 - how is this market structured?
 - which opportunities does it offer?
- Deloitte has been asked to study the market



The Situation: a neutral description, which you know the audience will agree on

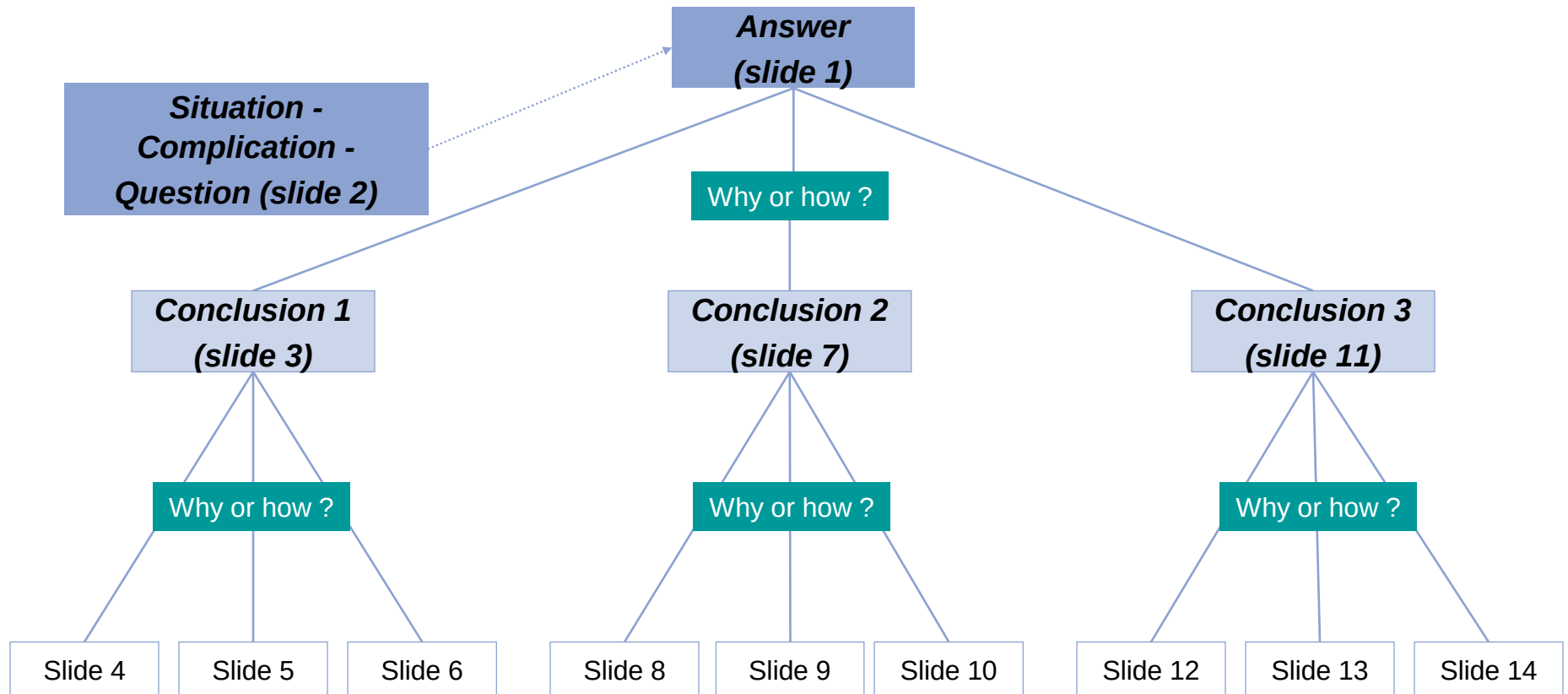


The Complication: a desired change of the current situation

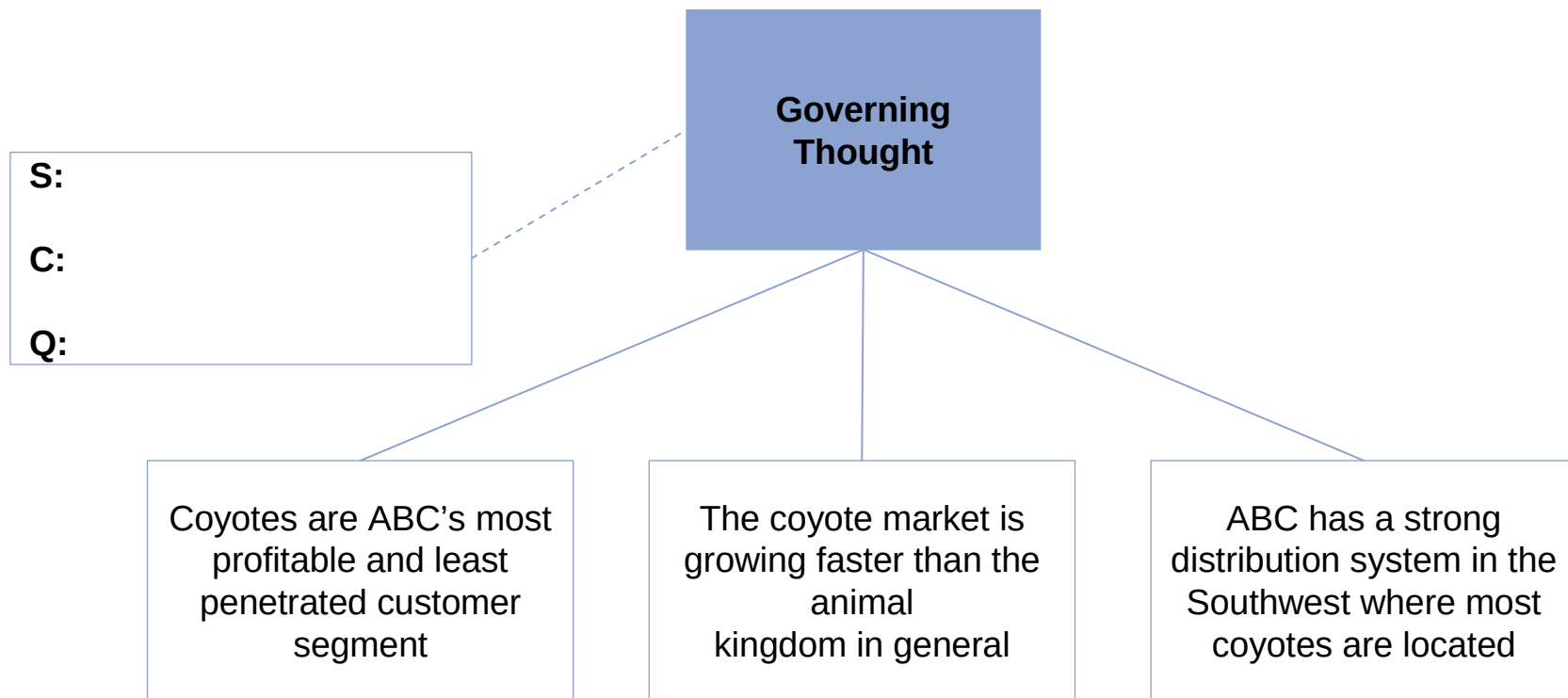


The Question: the question that implicitly results from the complication

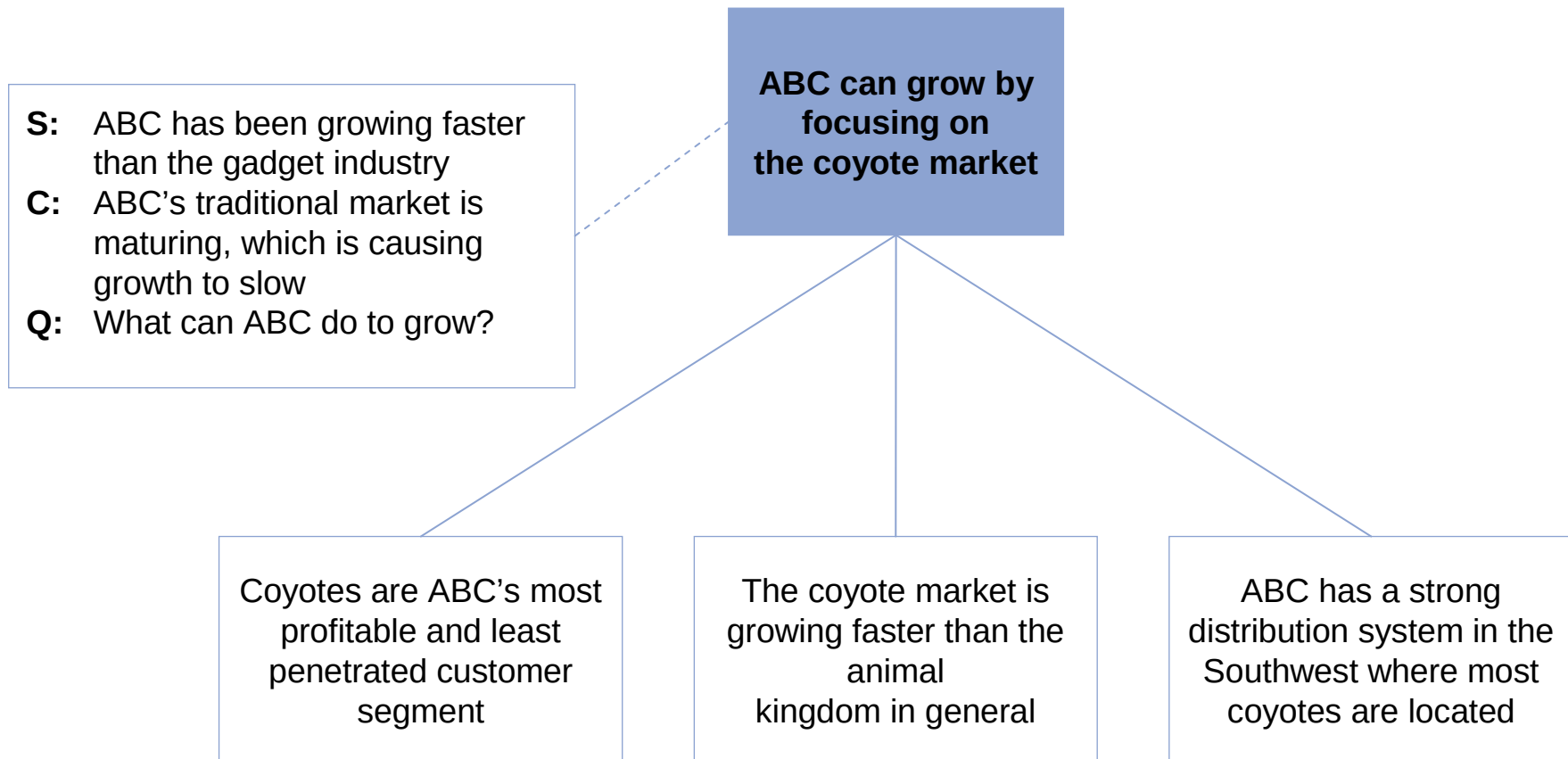
The pyramid should give then give the Answer to this Question



Exercise: Write an introduction and governing thought for this report



Suggested Answer



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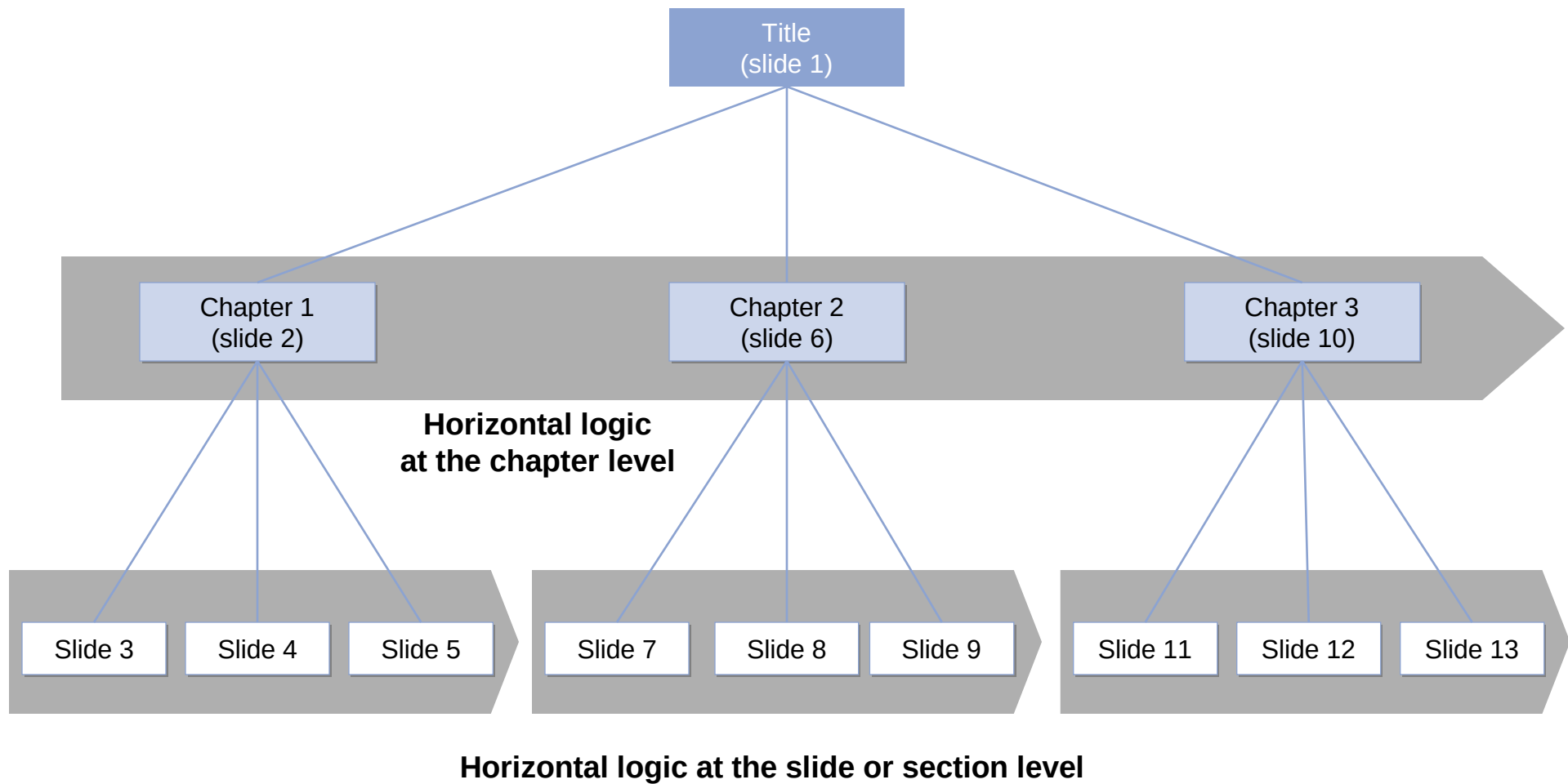
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Horizontal logic is the basis of the sequence of your chapters and sections and hence your slides or written report



Use recurring agenda slides to show the horizontal logic on the chapter level

- Neutral chapter titles

1. Introduction

2. Current Situation

3. Market analysis

4. Competitive benchmark

5. Conclusions

Conclusion chapter summarizes results and details recommendations

- Direct chapter headings state the conclusions

1. X needs to get profitable fast

2. Improper scheduling leads to high costs

3. Market outlook for X is fine

4. X should adopt different schedules

Table of content is summary; recommendations in last chapter

Use boxes for each new chapter

The slide headers are the elements of horizontal logic on the slide level

- Each header should be a step in a process that leads your audience toward the desired conclusion
 - Each header should contains only one, explicit, message
 - right: 'The beer market is growing 22% per annum'
 - wrong: 'The size of the beer market'

- 'One slide, one message'
 - Each slide should stand on its own
 - hence, don't put two or more messages on a slide, it blurs the logic!
 - don't use 'continued' slides

- The message in the header should be supported by the content of the slide (vertical logic)

The headers should be unambiguous, and ideally be linked

- Unambiguous statements are clearer:

- **Wrong:** There three reasons to enter this market
- **Right:** Growth, fragmented competition and the uniqueness of our products are the main reasons for entering the market
- **Wrong:** There are two bottlenecks
- **Right:** limited resources, and an impaired distribution are the main contributors to our losses

- Certain words create a logic horizontal chain:

- **Consecutive**

- Besides ...
- Further ...
- Finally ...

- **Contrasting**

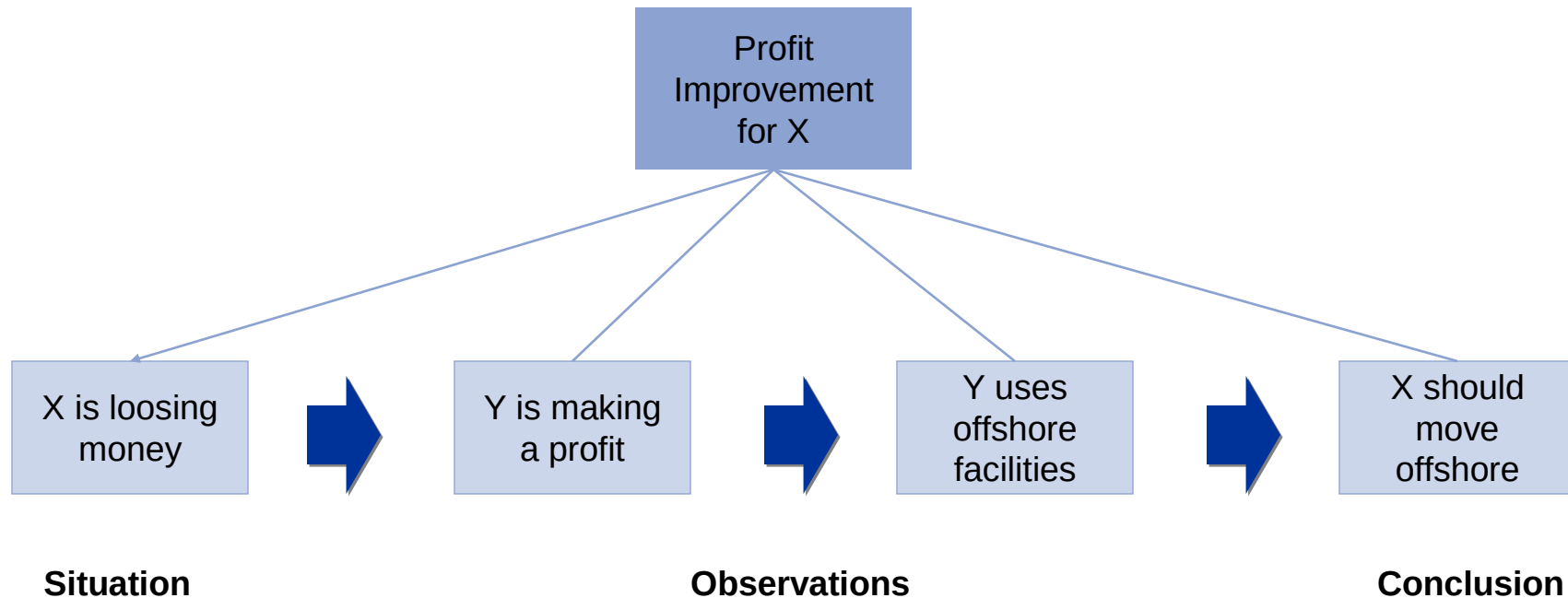
- But ...
- Conversely ...
- Nevertheless...

- **Concluding**

- Because ...
- Recapitulating ...

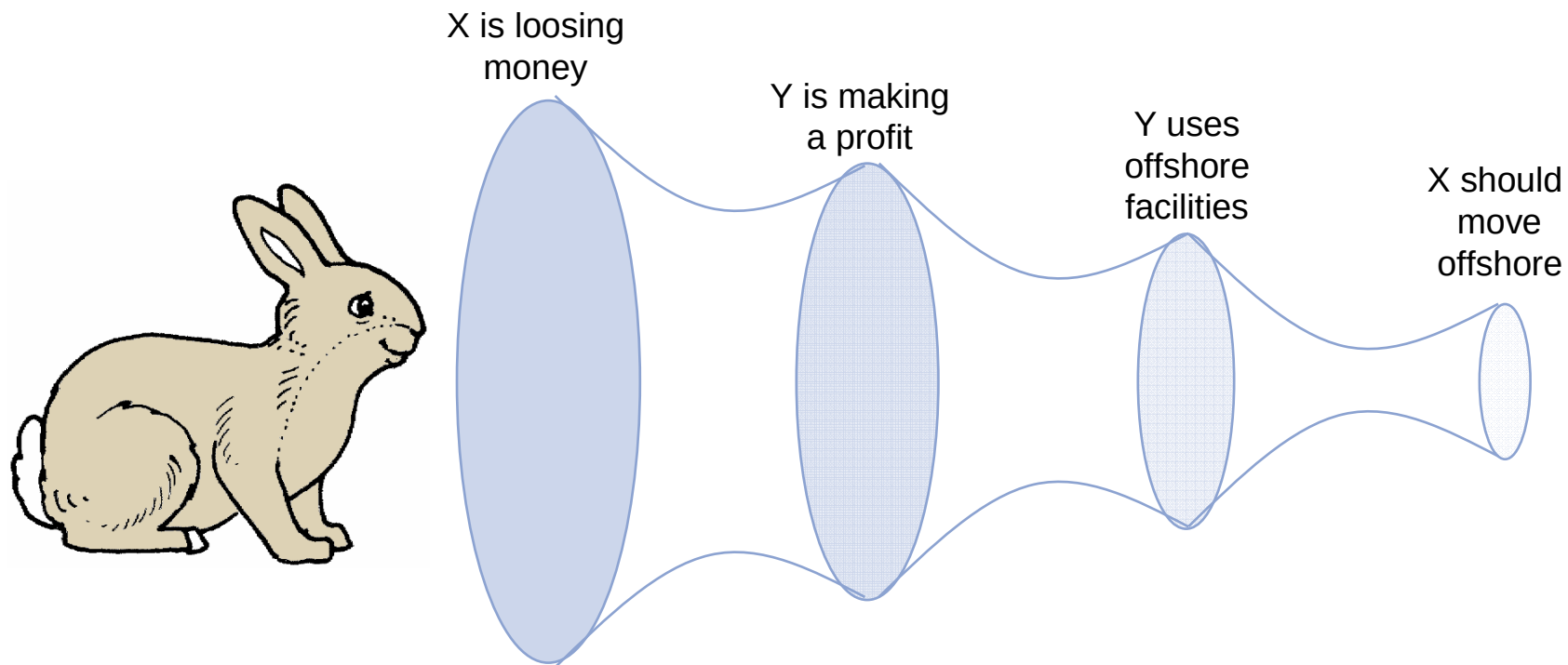
Ideally each horizontal flow should follow deductive logic

The concept of deduction



- **Deduction:** a coherent and logic way of reasoning which automatically leads to a conclusion
- **Advantage:** very convincing
- **Disadvantage:** sometimes not very easy to follow

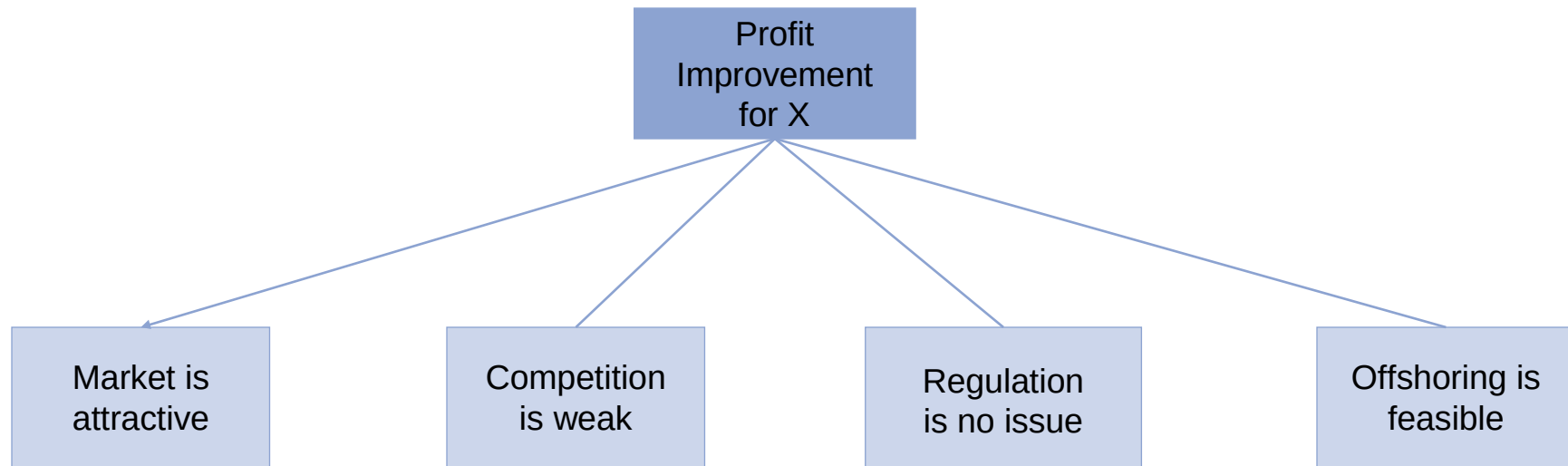
Deduction can be looked as a funnel that traps the audience into a conclusion



- Watch out for manipulation: 'Ork, ork ork, people eat soup with a

Easier to understand, but less convincing, is the concept of induction

The concept of induction



A list with independent observations

- Induction: a chain of non-related statements which make it possible to draw a certain conclusion
- The order should be simple: time, ranking, structure, alphabet, numerical
- Advantage: it is simple
- Disadvantage: link between conclusion and the statements is not always obvious

Exercise: Which Logic is Represented?

- To maintain its growth, XYZ needs to move into new markets
 - XYZ needs to sustain a high growth rate
 - The growth rate in XYZ's current market is slowing
 - XYZ needs to move into new markets
- Acme Industries can increase revenue by \$100 MM per year
 - Develop an online channel
 - Extend the product line
 - Target new customers
- Sow's Ear Inc. should exit the silk purse market
 - The silk purse market is stagnant
 - Several new competitors have entered the silk purse market
 - The silk purse division is not profitable

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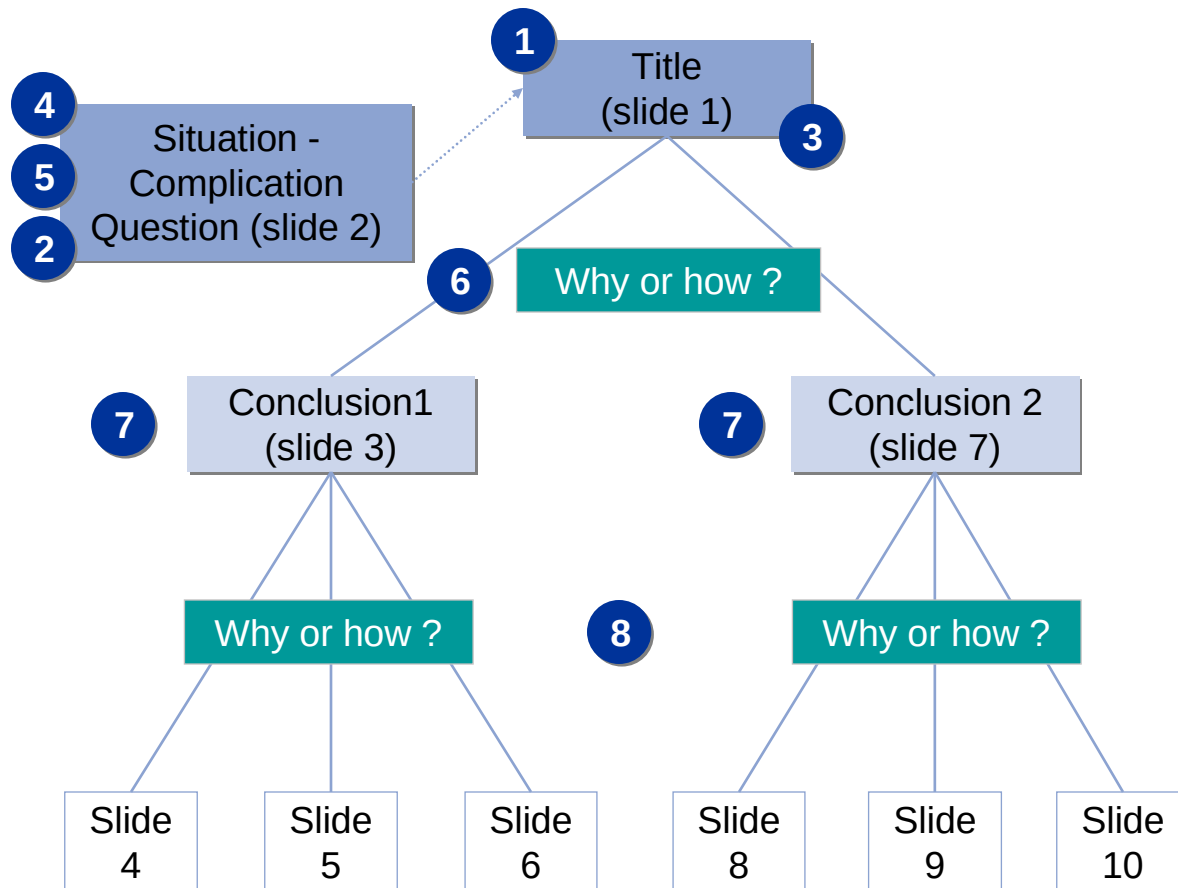
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First try to build the pyramid from the top down



■ What is the title/recommendation?

- 1 What is the subject?
- 2 What Question has to be addressed?
- 3 What is the proper Answer?

■ Check if the answer fits the introduction

- 4 What is the Situation?
- 5 What is the Complication?
- 2 Is it still the right Answer?

■ Draw the main conclusions

- 6 Determine the 'why or how' that leads to the Answer (MECE!)
- 7 Should the logic be deductive or inductive?

■ Now make headers for each slide

- 8 Repeat steps 6 and 7

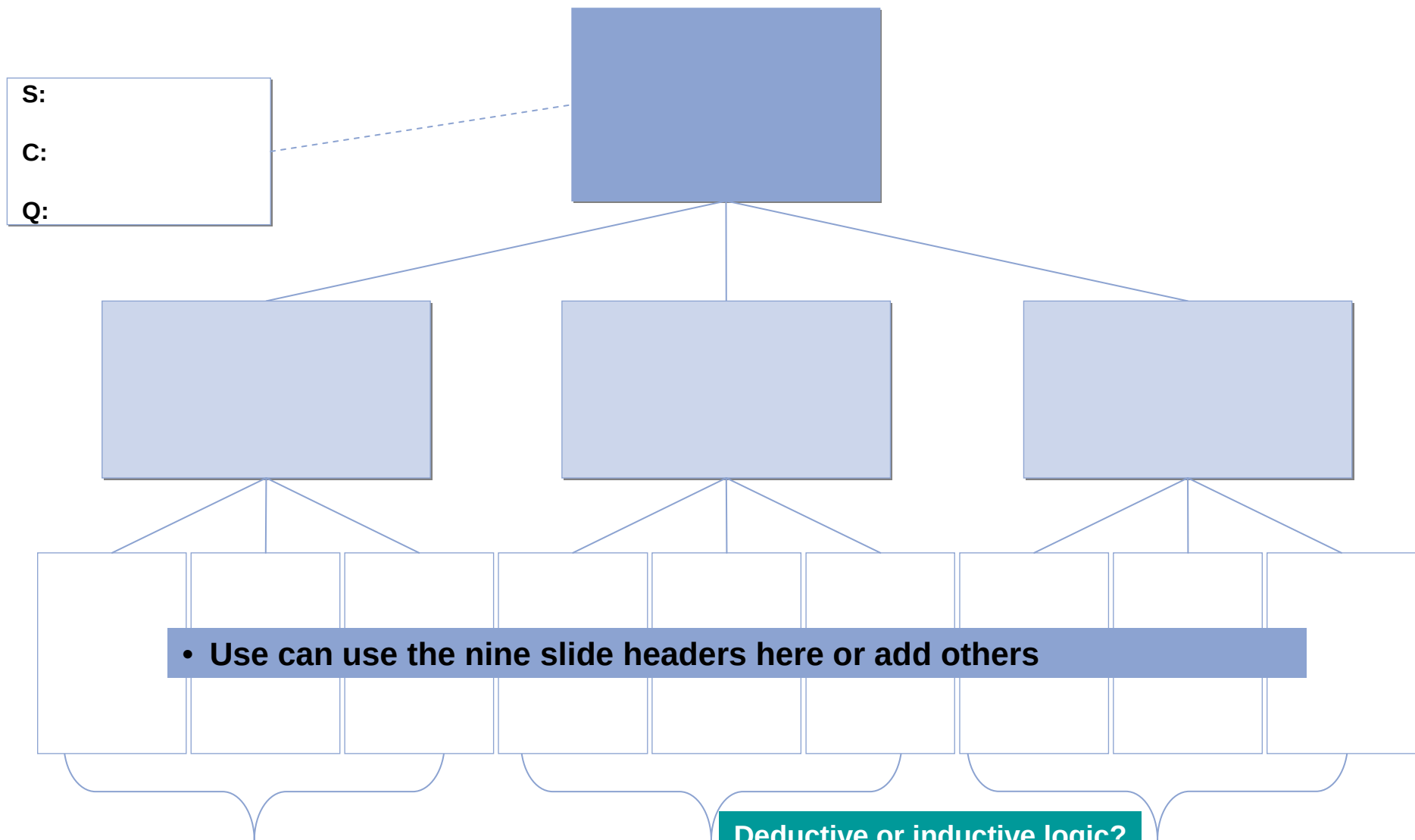
If necessary switch to a bottom-up approach

- Start with the individual slides
 - do some brainstorming, come up with a list of issues which you have to address in the presentation
 - assign a slide to each subject
- Build the different chapters
 - group the appropriate slides into chapters
 - arrange the slides belonging to the same chapter into the proper order (depending on your argumentation, this can be inductive or deductive)
 - draw a conclusion for each chapter and check for MECE
- Build the top of the pyramid
 - arrange the chapters in the proper order (inductive or deductive)
 - check for MECE
 - draw your final conclusion
- Write the introduction
 - describe the current Situation, the Complication and the Question
 - check if the final conclusion (the Answer) fits the original Question

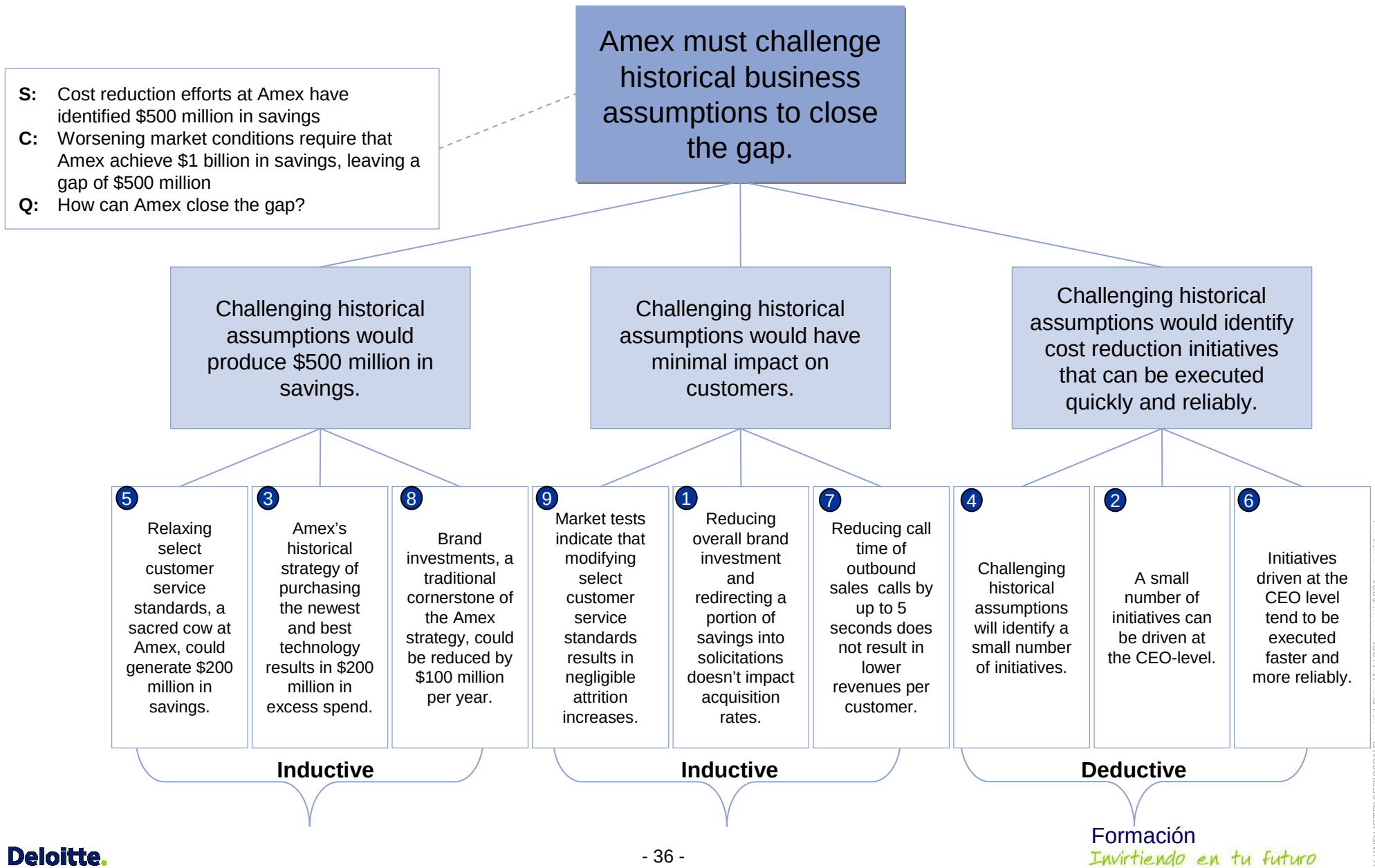
Exercise: Building a pyramid

- You are developing a cost reduction strategy for American Express
- Worsening market conditions have raised the cost reduction target to \$1 billion, only \$500 million of which has been achieved
- Through some research, analysis, and interviews, you uncover the following facts:
 1. Reducing overall brand investment and redirecting a portion of savings into solicitations doesn't impact acquisition rates.
 2. A small number of initiatives can be driven at the CEO-level.
 3. Amex's historical strategy of purchasing newest and best technology results in \$200 million in excess spend.
 4. Challenging historical assumptions will identify a small number of initiatives.
 5. Relaxing select customer service standards, a sacred cow at Amex, could generate \$200 million in savings.
 6. Initiatives driven at the CEO level tend to be executed faster and more reliably.
 7. Reducing call time of outbound sales calls by up to 5 seconds does not result in lower revenues per customer.
 8. Brand investments, a traditional cornerstone of the Amex strategy, could be reduced by \$100 million per year.
 9. Market tests indicate that modifying select customer service standards results in negligible attrition increases.
- You have already made slides for these nine observations

Exercise: Try to fill out these boxes and indicate the type of logic you use



Suggested answer



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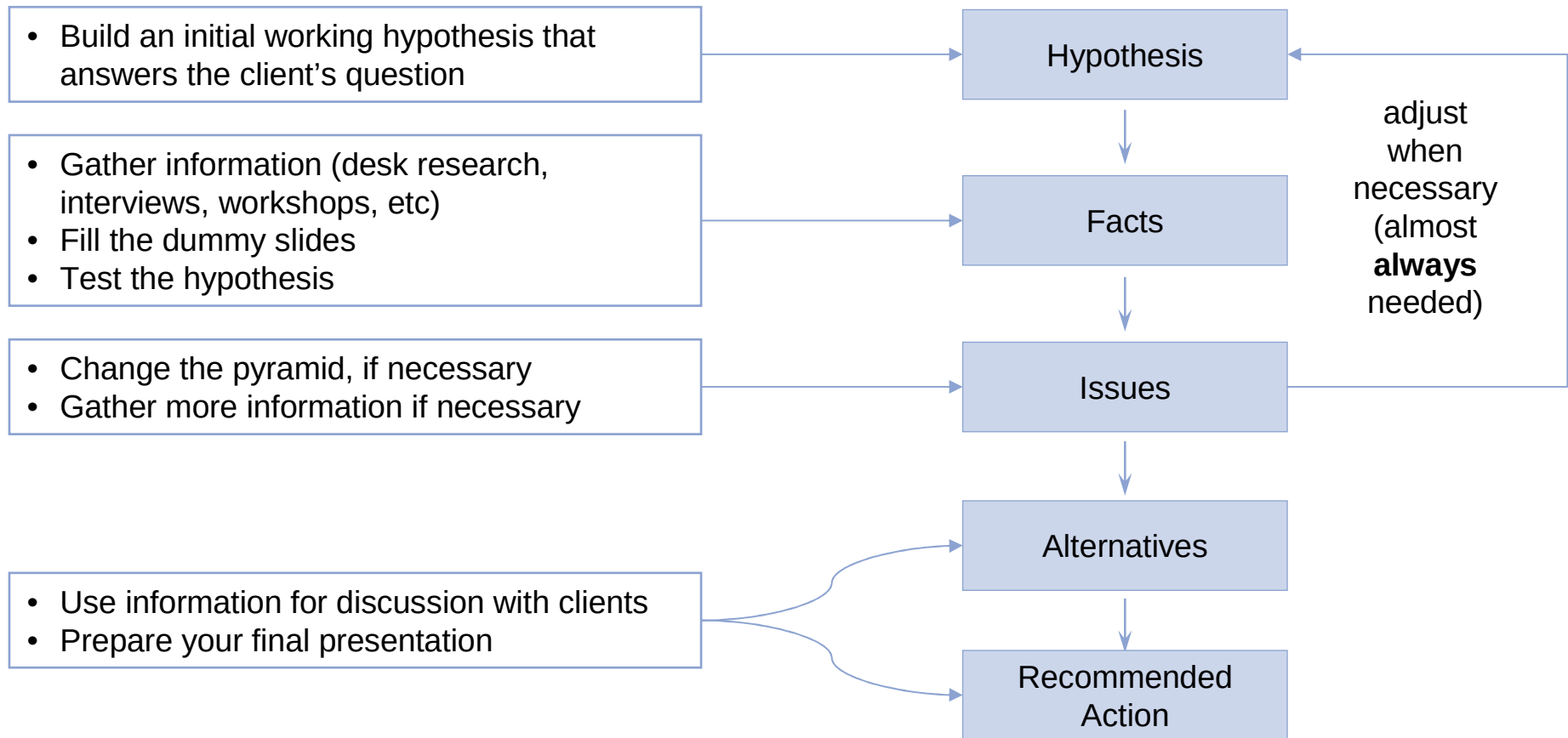
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By making a 'dummy storyboard' early on in a project, you can shift the 'project stress' to the beginning of your project



Many teams therefore begin their projects by creating slide headers for each hypothesis even before the graphic support has been created

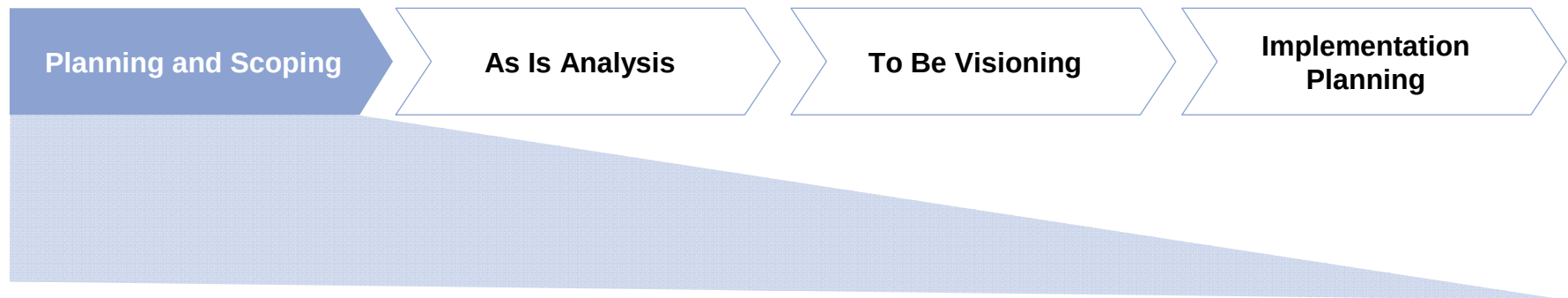
Issue 1: How attractive is the market?	The market is large (Hypothesis 1A) graphic support Page 1	The market is growing (Hypothesis 1B) graphic support Page 2	Profitability varies by country (Hypothesis 1C) graphic support Page 3
	The competitive environment varies by country (Hypothesis 2A) graphic support Page 4	Domestic producers have certain advantages (Hypothesis 2B) graphic support Page 5	The limited success of Multinationals speaks against market entry at this time (Hypothesis 2C) graphic support Page 6

Teams can use a 'Rolling Pack' to structure output and to assign responsibility to each member of the case team

- The Rolling Pack is a continually evolving presentation document, where place-holder slides are systematically updated until the draft is considered final
- It keeps track of who is creating slides for each section
- The Rolling Pack keeps track of progress : What remains to be done?
- By substituting in updated/finished slides as you go, you will always have the most recent version of the draft immediately at hand
 - Presentations are evolutionary, not static
 - Electronic files DO get corrupted and lost!!!

Typically hypothesis development is part of the planning and scoping phase of your project

Generic Project Approach



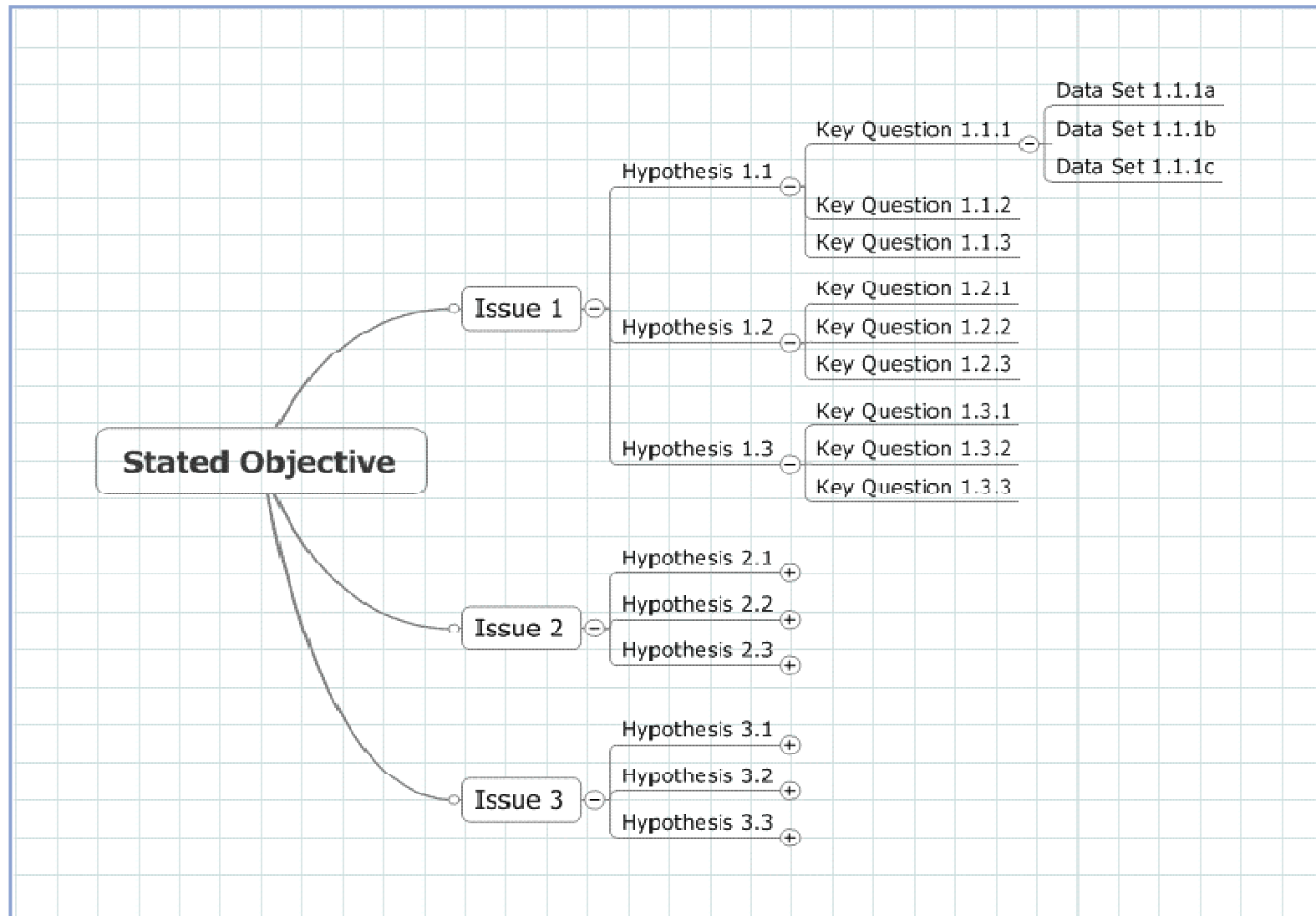
Prepare

- Collect deliverables from similar projects
 - DCCConnect and Synergy
 - Amstelveen H:drive
- Review your service line tools and methodologies
- Lever other Deloitte experience
 - experts and colleagues
 - team members experience
- Do some background reading on industry/function
- If possible, talk to client
 - first round of client interviews

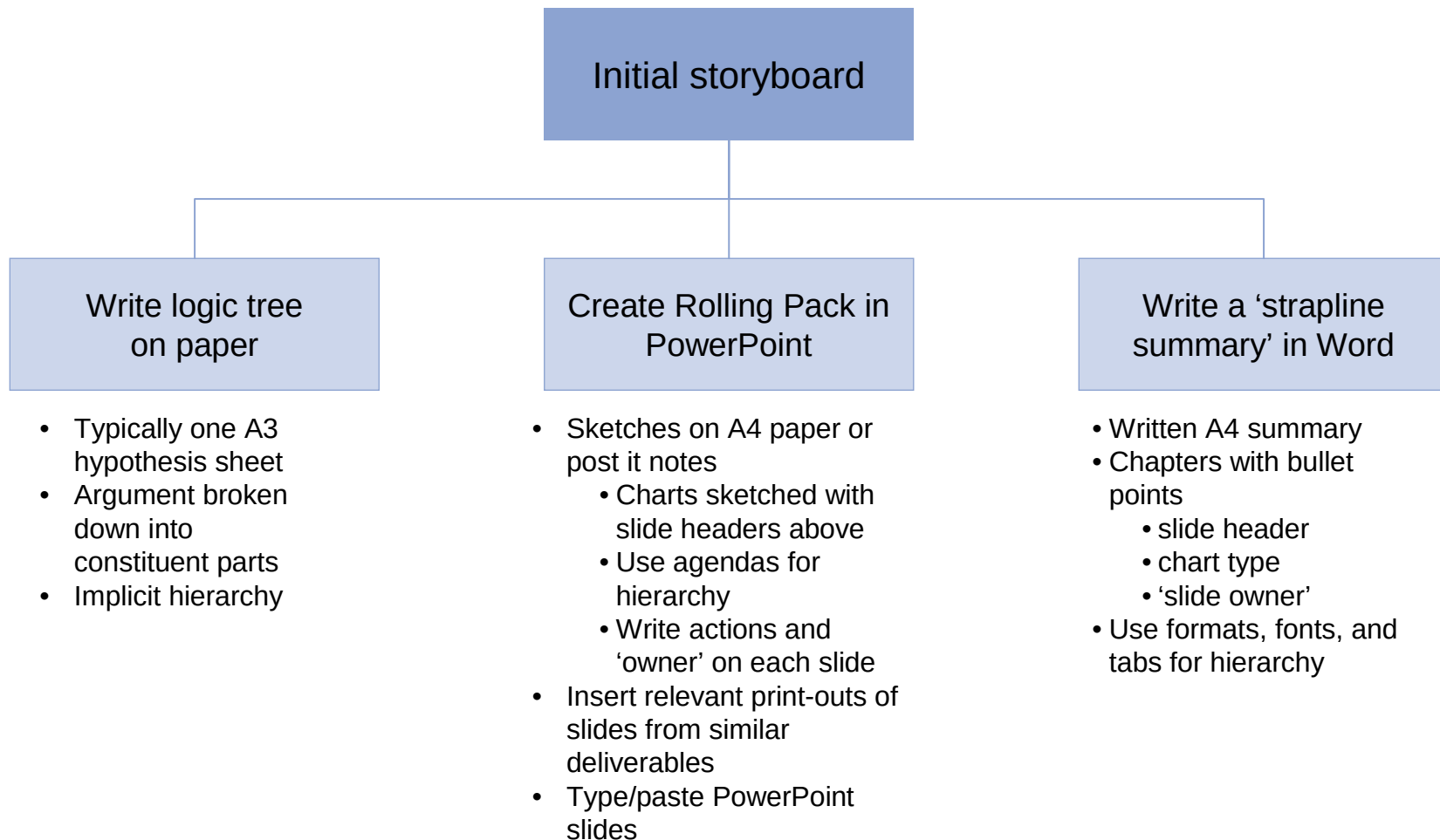
Develop

- Set up 2-4 hour meeting with project team
 - no more than four persons
- Prepare relevant material
 - deliverables from similar projects
- Conduct a team brainstorming
 - restate Situation - Complication - Question from proposal
 - try to build a pyramid from the top-down
 - switch to bottom-up if necessary
 - write pyramid on white board
- Write out initial storyboard
- Share with client working or steering group

An issue tree can be a useful way of establishing S, C and Q



There are three major ways to write up the initial storyboard



Some DOs ...

■ Do ...

- develop a hypothesis in the first 2 weeks of the case (assuming 8-12 week project) and agree it internally
 - week one of the case if it is a 6 week project
 - day 2 of the case if it is a 2 week strategic due diligence project
- discuss the initial storyboard with the client but always state that is it NOT the final answer but just a work plan
 - creates buy-in for approach
 - raises issues
 - manages expectations
- update the hypothesis when analysis throws up answers which substantially change the likely answer
 - ensures the team keep working in the same direction - some analysis may become redundant while some new analysis may be required
 - keeps partner up to date on thinking

... and some DON'Ts

- Don't ...

- overinvest in developing the initial hypothesis
 - initial hypotheses rarely equate to the final answer
 - it's more important to get to something workable quickly
- just copy an old hypothesis tree and adapt it, always 'plant your own tree'
- share the hypothesis with the client before you have at least some data and analysis to back it up
- become too wedded to your original hypothesis
 - especially in the face of growing contradictory evidence

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